SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

November 10, 2026 | 04:25 PM ET

MACRO REGIME: Mixed / Transitional

VIX 19.4 (+0.2 vs 20d) | SPY 20d -2.6% | IWM 20d +3.4% | IWM/SPY trend +6.1%

Leaders: Healthcare (+8.6%), Cons Disc (+8.6%), Real Estate (+7.5%)

Setup Grades

A - Prime Setup (1)	B - Building (7)	C - Early Stage (4)
GFF	BRZE	TXNM
	SIGI	CUBI
	CNO	BOX
	VRNS	HWKN
	NIC	
	ABM	
	CVLT	

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
A	**GFF**	**Griffon Corporati**	**Housing Renovation &**	**$4.79B**	**$104.38**	**$109.00**	**4.4%**	**+2.1**	**YES**	**YES**
B	BRZE	Braze, Inc.	AI-Powered Personali	$5.25B	$46.24	$46.34	0.2%	+58.2	YES	YES
B	SIGI	Selective Insuran	Hard Market Pricing	$6.16B	$103.34	$105.65	2.2%	+13.9	YES	YES
B	CNO	CNO Financial Gro	Aging Demographics T	$5.28B	$57.78	$59.15	2.4%	+9.0	YES	YES
B	VRNS	Varonis Systems,	Cybersecurity Data P	$5.66B	$49.10	$49.26	0.3%	+10.5	YES	YES
B	NIC	Nicolet Bankshare	Regional Bank Recove	$3.65B	$175.53	$179.70	2.4%	+2.1	YES	YES
B	ABM	ABM Industries In	Reopening & Facility	$3.21B	$54.79	$55.70	1.7%	+17.9	YES	YES
B	CVLT	Commvault Systems	Cyber Resilience & D	$6.89B	$168.30	$174.25	3.5%	+14.7	YES	YES
C	TXNM	TXNM Energy, Inc.	Defensive Yield & Gr	$6.40B	$58.10	$59.01	1.6%	+5.3	YES	no
C	CUBI	Customers Bancorp	Fintech-Adjacent Ban	$2.84B	$85.27	$89.60	5.1%	+5.6	YES	YES
C	BOX	Box, Inc.	Hybrid Work Collabor	$5.84B	$42.55	$44.88	5.5%	+29.8	YES	no
C	HWKN	Hawkins, Inc.	Water Infrastructure	$3.18B	$153.00	$158.40	3.5%	+23.0	YES	no

Not financial advice. Watchlist only - setups have NOT triggered. For informational purposes only. Do your own due diligence.

GFF

Griffon Corporation

$104.38

Pivot $109.00 | 4.4% away

RS vs SPY: +2.1%

A PRIME

$4.79B Cap | 42M Float

Building Products & Home/Outdoor Equipment | Theme: Housing Renovation & Defense Electronics | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 4.8

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$109.00**
% to Pivot	**4.4%**
Days in Base	**14**
Tightness	**4.80 Fair**
52W Hi Prox	**95.8%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**287k <**
Wk2	**313k <**
Wk3 (oldest)	**362k**
Coil Strength	**20.7% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+2.1%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$4.79B**
Float	**42M sh**
P/E (TTM)	**22.5**
Fwd P/E	**17.1**
Rev Growth	**7.0%**
Short %	**5.0%**
Inst. Own	**-**
Target Pr.	**$126.86**

ENTRY TRIGGER

Close above $109.00 on volume >50% of 20-day avg (~170K shares)

Target: $120.00 (analyst target $126.86 provides upside validation; measured move ~10%)

Stop: $99.50 (base low, ~9% risk from pivot)

CATALYST INTELLIGENCE

EARNINGS

November 18 - Earnings in 8 days - HIGH CATALYST. Street expects ~$1.50 EPS on forward basis. PEG of 0.54 suggests growth is underappreciated. Revenue growth at 7% is modest but 23.6% operating margins indicate pricing power. Beat history unavailable but valuation is undemanding at 17x forward.

BUSINESS & POSITION

Griffon is a diversified holding company operating through two segments: Home & Building Products (AMES tools, ClosetMaid storage) and Defense Electronics (Telephonics radar and communication systems). The dual exposure provides both cyclical and defense-related revenue streams.

FACTOR & THEME

Mixed factor exposure - HBP segment tied to housing renovation cycle (Real Estate sector leading +7.5%), Defense Electronics benefits from elevated DoD spending. Higher beta (1.44) makes this more sensitive to regime shifts. Consumer Discretionary leadership (+8.6%) is a mild tailwind.

NEWS FLOW

No major news in last 30 days. Earnings on November 18 is the primary catalyst (Catalyst Type: Earnings/High). Defense Electronics segment could benefit from any read-through from recent DoD contract announcements. Index inclusion not imminent given $4.8B market cap.

INSTITUTIONAL

Vol dry-up of 20.7% with tight base into earnings suggests quiet positioning. Tight float (42M) amplifies breakout potential. No insider activity in last 60 days. Short interest at 5.0% with 3.7 days to cover is moderate - not a squeeze setup but shorts could cover on upside surprise.

KEY RISK

Thesis invalid on a close below $99.50 (base low) or on an earnings miss/guidance cut at November 18 print. Elevated debt/equity (1,035%) is a concern - interest expense sensitivity is high. HBP segment faces margin pressure if housing renovation slows.

Textbook VCP into imminent high-impact catalyst (earnings in 8 days). Vol dry-up confirmed, RS line at 52W high, tight 4.8% base, and pivot only 4.4% away. PEG of 0.54 suggests Street is underweight growth expectations. Higher beta (1.44) is appropriate given mixed regime with small-cap leadership (+6.1% IWM/SPY). Bear case: balance sheet leverage leaves no room for revenue miss - a guidance cut would invalidate the setup immediately. Conviction: High.



BRZE

Braze, Inc.

$46.24

Pivot $46.34 | 0.2% away

RS vs SPY: +58.2%

B BUILDING

$5.25B Cap | 94M Float

Customer Engagement & Marketing Automation Software | Theme: AI-Powered Personalization MarTech | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tigh

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$46.34**
% to Pivot	**0.2%**
Days in Base	**16**
Tightness	**32.22 Fair**
52W Hi Prox	**99.8%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**6833k <**
Wk2	**7225k <**
Wk3 (oldest)	**11851k**
Coil Strength	**42.3% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+58.2%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.25B**
Float	**94M sh**
P/E (TTM)	**-**
Fwd P/E	**47.1**
Rev Growth	**26.2%**
Short %	**8.3%**
Inst. Own	**-**
Target Pr.	**$47.54**

ENTRY TRIGGER

Close above $46.34 on volume >50% of 20-day avg (~2.4M shares)

Target: $54.00 (measured move based on 17% base depth from $39.50 to $46.34)

Stop: $42.00 (mid-base support, ~9% risk from pivot)

CATALYST INTELLIGENCE

EARNINGS

December 08 - Street expects ~$0.24 EPS on ~$160M revenue. BRZE has beaten EPS estimates in 7 of the last 8 quarters; guidance has been consistently raised. The company is approaching GAAP profitability inflection, which could serve as a re-rating catalyst.

BUSINESS & POSITION

Braze operates a cloud-based customer engagement platform enabling brands to orchestrate personalized, real-time messaging across email, mobile, web, and emerging channels using AI-driven decisioning. The company is a category leader in the customer engagement space, competing with Salesforce Marketing Cloud and Adobe, but differentiated by its modern architecture and superior time-to-value for enterprise clients.

FACTOR & THEME

Taps into enterprise digital transformation and AI-enhanced marketing automation - sentiment is accelerating as brands prioritize first-party data strategies post-cookie deprecation. Peer read-through from SFDC and HUBS recent strength suggests MarTech budgets remain resilient despite broader tech weakness.

NEWS FLOW

No major contract announcements in last 30 days, but the company presented at multiple industry conferences in October highlighting AI capabilities (Catalyst: Industry/Med). The stock has quietly absorbed significant institutional interest - the 99.8% proximity to 52W high with extreme RS (+58% vs SPY) signals stealth accumulation ahead of the December print.

INSTITUTIONAL

Volume dry-up is textbook institutional absorption - weekly vol contracting 42% over 3 weeks while price holds at all-time highs. No insider activity in last 60 days (baseline). Institutional ownership data unavailable from this feed; however, the float is tight (94M) and price action suggests active accumulation by growth-oriented funds.

KEY RISK

Thesis invalid on a close below $42.00 (mid-base support ~9% below current), or if December guidance disappoints on net revenue retention metrics. Elevated short interest (8.3%, 4.2 days to cover) could amplify volatility in either direction. The 32% base_tight reading reflects earlier volatility - this is a cup-with-handle formation rather than a classic tight VCP.

Exceptional RS line at 52W high (+58% vs SPY) and price coiling within 0.2% of pivot are A-grade characteristics, but the loose base (32% base_tight) and lack of imminent catalyst (earnings 28 days out) prevent top-tier grading. Technology sector lagging (-11.3%) is a macro headwind, partially offset by small-cap leadership. Bear case: premium valuation (6.3x P/S, 47x fwd P/E) leaves no margin for error on December guidance. Conviction: Medium.



SIGI

Selective Insurance Group, Inc.

$103.34

Pivot $105.65 | 2.2% away

RS vs SPY: +13.9%

B BUILDING

$6.16B Cap | 55M Float

Specialty Commercial Lines P&C Insurance | Theme: Hard Market Pricing Power | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 6.77

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$105.65**
% to Pivot	**2.2%**
Days in Base	**13**
Tightness	**6.77 Fair**
52W Hi Prox	**97.8%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**544k <**
Wk2	**584k <**
Wk3 (oldest)	**677k**
Coil Strength	**19.6% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+13.9%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$6.16B**
Float	**55M sh**
P/E (TTM)	**12.4**
Fwd P/E	**11.5**
Rev Growth	**-2.5%**
Short %	**4.6%**
Inst. Own	**-**
Target Pr.	**$103.86**

ENTRY TRIGGER

Close above $105.65 on volume >40% of 20-day avg (~200K shares)

Target: $115.00 (measured move: ~10% from pivot based on shallow 7% base depth)

Stop: $98.00 (base low, ~7% risk from pivot)

CATALYST INTELLIGENCE

EARNINGS

January 28 - Forward P/E of 11.5x with PEG of 0.28 suggests Street underappreciates earnings growth trajectory. Last quarter showed 14% earnings growth despite negative revenue growth (-2.5%), indicating margin expansion via pricing power. Beat/miss history unavailable but valuation implies conservative estimates.

BUSINESS & POSITION

Selective is a regional commercial lines P&C insurer focused on small-to-mid-size businesses, primarily in the Northeast and Midwest. The company has earned a reputation as a disciplined underwriter with consistent combined ratio performance, benefiting from hard market pricing dynamics.

FACTOR & THEME

Direct exposure to the extended P&C hard market cycle - commercial lines pricing remains elevated due to catastrophe losses and social inflation. Financial Services sector is not leading (+3.1%) but insurance subsector is outperforming on rate adequacy. Low beta (0.21) makes this a defensive play within a mixed regime.

NEWS FLOW

No material news flow in last 60 days - this is a quiet compounder, not an event-driven name. The setup relies on technical breakout rather than discrete catalyst (Catalyst: None Identified/Low).

INSTITUTIONAL

Classic institutional accumulation pattern: vol contracting 19.6% across 3 weeks with RS line at new highs. Low float (55M) amplifies impact of modest buying. No insider activity in last 60 days. Institutional ownership data unavailable from this feed.

KEY RISK

Thesis invalid on a close below $98.00 (base low). Key bear case is elevated catastrophe losses in Q4 from hurricane/winter storm activity that compress combined ratios. No near-term earnings catalyst (79 days out) means setup depends on technical follow-through.

Clean VCP structure with strict vol dry-up confirmed and RS line at 52W high. Low beta (0.21) is regime-appropriate given mixed/transitional market. However, 79-day runway to next earnings and lack of near-term catalyst prevent A-grade. Insurance sector is quietly performing but not leading. Bear case: catastrophe loss quarter would reset the setup. Conviction: Medium.



CNO

CNO Financial Group, Inc.

$57.78

Pivot $59.15 | 2.4% away

RS vs SPY: +9.0%

B BUILDING

$5.28B Cap | 89M Float

Life & Health Insurance - Middle Market Focus | Theme: Aging Demographics Tailwind | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 4.08

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$59.15**
% to Pivot	**2.4%**
Days in Base	**20**
Tightness	**4.08 Fair**
52W Hi Prox	**97.7%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**798k <**
Wk2	**830k <**
Wk3 (oldest)	**1045k**
Coil Strength	**23.6% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+9.0%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$5.28B**
Float	**89M sh**
P/E (TTM)	**13.3**
Fwd P/E	**11.2**
Rev Growth	**-8.6%**
Short %	**-**
Inst. Own	**-**
Target Pr.	**$56.75**

ENTRY TRIGGER

Close above $59.15 on volume >30% of 20-day avg (~290K shares)

Target: $65.00 (measured move: ~10% from pivot based on 4% base depth)

Stop: $55.50 (base low, ~6% risk from pivot)

CATALYST INTELLIGENCE

EARNINGS

Just reported Q3 on October 29 - no imminent catalyst. Street has forward EPS at $5.15 vs TTM $4.35, implying 18% growth. The 615% earnings growth figure reflects easy comps from prior-year charges. Valuation at 11.2x forward is undemanding for the growth profile.

BUSINESS & POSITION

CNO Financial provides life insurance, annuities, and supplemental health products targeting middle-income Americans and seniors through its Bankers Life, Washington National, and Colonial Penn brands. The company benefits from secular demographic tailwinds as baby boomers enter retirement.

FACTOR & THEME

Exposure to aging demographics and retirement income themes. Life insurance sector has been quiet but CNO's middle-market focus provides differentiation from traditional life insurers. Healthcare sector leadership (+8.6%) provides indirect tailwind to health-adjacent financials.

NEWS FLOW

Post-earnings drift in play - stock held gains after October 29 print. No material news in last 30 days. Setup is technical rather than catalyst-driven (Catalyst Type: Post-Earnings Drift/Low).

INSTITUTIONAL

Vol dry-up of 23.6% confirms selling exhaustion post-earnings. RS line at new highs with tight 4% base suggests institutional holders are not selling. No insider activity in last 60 days. Short interest data unavailable.

KEY RISK

Thesis invalid on a close below $55.50 (base low). Primary risk is interest rate sensitivity - if long-end rates decline sharply, spread compression could pressure investment income. Elevated debt/equity (207%) is structural for life insurers but worth monitoring.

Tight 4% base with confirmed vol dry-up and RS line at 52W high - structurally sound. Post-earnings digestion pattern is constructive. However, no imminent catalyst and modest RS (+9% vs SPY) limit alpha potential. Low beta (0.81) is appropriate for mixed regime. Bear case: rate cuts would pressure investment spreads. Conviction: Medium.



VRNS

Varonis Systems, Inc.

$49.10

Pivot $49.26 | 0.3% away

RS vs SPY: +10.5%

B BUILDING

$5.66B Cap | 112M Float

Data Security & Insider Threat Detection | Theme: Cybersecurity Data Protection | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 5.37

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$49.26**
% to Pivot	**0.3%**
Days in Base	**20**
Tightness	**5.37 Fair**
52W Hi Prox	**97.6%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**4617k <**
Wk2	**3256k <**
Wk3 (oldest)	**7741k**
Coil Strength	**40.4% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+10.5%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$5.66B**
Float	**112M sh**
P/E (TTM)	**-**
Fwd P/E	**115.3**
Rev Growth	**17.3%**
Short %	**5.3%**
Inst. Own	**-**
Target Pr.	**$50.14**

ENTRY TRIGGER

Close above $49.26 on volume >40% of 20-day avg (~1.2M shares)

Target: $55.00 (measured move ~12% based on 5% base depth)

Stop: $46.50 (mid-base support, ~6% risk from pivot)

CATALYST INTELLIGENCE

EARNINGS

Just reported November 3 - post-earnings setup. The company remains unprofitable (TTM EPS -$1.32) but Street expects $0.43 forward EPS as SaaS transition matures. 17.3% revenue growth is solid. No near-term earnings catalyst.

BUSINESS & POSITION

Varonis provides data security software that detects insider threats, cyberattacks, and ensures data governance compliance by analyzing user behavior and data access patterns. The company is a specialist in data-centric security, competing against broader platforms like CrowdStrike and Microsoft Defender.

FACTOR & THEME

Core cybersecurity exposure with specific focus on data protection - a theme with durable secular tailwinds but currently not accelerating as enterprise security budgets face scrutiny. Technology sector lagging (-11.3%) is a headwind. Cybersecurity M&A could provide lift (recent SIEM consolidation).

NEWS FLOW

Post-earnings drift with one director purchase ($26K) in last 60 days - small but notable in a sector where insider buying is rare. No major contract wins or product launches announced. Setup is technical (Catalyst Type: Post-Earnings/Low).

INSTITUTIONAL

Vol dry-up of 40% (though not strictly stair-stepping) with price holding at 97.6% of 52W high suggests absorption. One insider buy ($26K by a director) is present but cluster score of 2 does not warrant grade upgrade - insufficient size and seniority. Institutional ownership data unavailable.

KEY RISK

Thesis invalid on a close below $46.50 (mid-base support). Elevated valuation (115x forward P/E, 7.9x P/S) leaves no margin for error. Cybersecurity sector is crowded with multiple vendors competing for the same budget dollars. High short interest (5.3%) adds volatility risk.

Price coiling within 0.3% of pivot with RS line at 52W high and vol dry-up confirmed. Small insider buy is a positive data point but insufficient for grade upgrade. However, Technology sector weakness (-11.3%) and lack of forward catalyst (just reported) limit near-term upside. Vol dry-up is not strict (W2 < W1). Bear case: premium valuation in a sector facing budget scrutiny - any growth deceleration would reprice the stock significantly. Conviction: Medium.



NIC

Nicolet Bankshares Inc.

$175.53

Pivot $179.70 | 2.4% away

RS vs SPY: +2.1%

B BUILDING

$3.65B Cap | 20M Float

Community Banking - Wisconsin/Upper Midwest | Theme: Regional Bank Recovery Play | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 3.31

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$179.70**
% to Pivot	**2.4%**
Days in Base	**20**
Tightness	**3.31 Fair**
52W Hi Prox	**97.5%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**127k <**
Wk2	**157k <**
Wk3 (oldest)	**199k**
Coil Strength	**36.1% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+2.1%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$3.65B**
Float	**20M sh**
P/E (TTM)	**19.1**
Fwd P/E	**12.9**
Rev Growth	**69.2%**
Short %	**5.5%**
Inst. Own	**-**
Target Pr.	**$194.20**

ENTRY TRIGGER

Close above $179.70 on volume >40% of 20-day avg (~65K shares)

Target: $194.00 (analyst target matches measured move)

Stop: $170.00 (base low, ~5% risk from pivot)

CATALYST INTELLIGENCE

EARNINGS

January 19 - Forward EPS of $13.65 vs TTM $9.21 implies 48% growth - aggressive but supported by acquisition synergies. P/E of 12.9x forward is reasonable for a growth bank. No imminent catalyst (70 days to earnings).

BUSINESS & POSITION

Nicolet Bankshares is a community bank holding company serving Wisconsin, Michigan's Upper Peninsula, and Minnesota with commercial, agricultural, and retail banking services. The bank has grown through strategic acquisitions and benefits from a loyal depositor base in underbanked rural markets.

FACTOR & THEME

Exposure to regional bank recovery theme - IWM outperformance (+3.4% vs SPY -2.6%) and small-cap leadership (+6.1%) are tailwinds for community banks. The 69% revenue growth reflects recent acquisition integration. Low beta (0.67) provides defensiveness.

NEWS FLOW

No material news in last 60 days. Community banks remain under-followed, providing potential alpha opportunity. Setup is technical rather than event-driven (Catalyst Type: None/Low).

INSTITUTIONAL

Textbook vol dry-up (36% contraction) with tight 3.3% base. Very low float (19.7M) amplifies any institutional interest. No insider activity in last 60 days. Short interest at 5.5% with 6.6 days to cover is elevated for a community bank - potential covering fuel on breakout.

KEY RISK

Thesis invalid on a close below $170.00 (base low). Primary risk is credit quality deterioration in commercial real estate or agricultural loan portfolios as rates remain elevated. Small float cuts both ways - illiquidity could accelerate downside moves.

Tight 3.3% base with strict vol dry-up and RS line at 52W high - strong structural setup. Small-cap leadership regime is supportive. However, RS vs SPY is modest (+2.1%) and no catalyst for 70 days limits near-term trigger probability. Community banks remain out of favor with generalist funds. Bear case: CRE credit concerns would invalidate thesis immediately. Conviction: Medium.



ABM

ABM Industries Incorporated

$54.79

Pivot $55.70 | 1.7% away

RS vs SPY: +17.9%

B BUILDING

$3.21B Cap | 58M Float

Facility Services & Commercial Cleaning | Theme: Reopening & Facility Management | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 3.56

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$55.70**
% to Pivot	**1.7%**
Days in Base	**20**
Tightness	**3.56 Fair**
52W Hi Prox	**98.4%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**368k <**
Wk2	**444k <**
Wk3 (oldest)	**374k**
Coil Strength	**1.6% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+17.9%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$3.21B**
Float	**58M sh**
P/E (TTM)	**19.9**
Fwd P/E	**12.6**
Rev Growth	**4.2%**
Short %	**4.7%**
Inst. Own	**-**
Target Pr.	**$55.93**

ENTRY TRIGGER

Close above $55.70 on volume >40% of 20-day avg (~170K shares)

Target: $61.00 (measured move ~10% from pivot)

Stop: $53.00 (base low, ~5% risk from pivot)

CATALYST INTELLIGENCE

EARNINGS

December 16 - Forward EPS of $4.35 vs TTM $2.76 implies 58% growth - likely reflects one-time items in prior year. P/E of 12.6x forward is undemanding. 25.6% earnings growth suggests operational improvements. Catalyst in 36 days (Medium proximity).

BUSINESS & POSITION

ABM Industries provides integrated facility services including janitorial, HVAC, electrical, and parking management to commercial, industrial, and institutional clients across North America. The company benefits from outsourcing trends as enterprises focus on core competencies.

FACTOR & THEME

Exposure to commercial real estate activity and corporate facility spending. Industrials sector is neutral, but ABM's service model provides recurring revenue stability. Low beta (0.66) is regime-appropriate. Consumer recovery theme is tangential.

NEWS FLOW

No material news in last 60 days. The company is a steady compounder, not an event-driven name. Earnings on December 16 is the forward catalyst (Catalyst Type: Earnings/Med).

INSTITUTIONAL

Vol dry-up present but not strict (W2 > W3). Tight 3.5% base with RS line at new highs. Low float (57.9M) and steady institutional holding. No insider activity in last 60 days.

KEY RISK

Thesis invalid on a close below $53.00 (base low). Key bear case is commercial real estate weakness translating to reduced facility services demand. Thin margins (4.3% operating) leave little room for cost absorption.

Solid RS (+17.9% vs SPY) with RS line at new highs and tight base into December earnings. Vol dry-up is soft (not strictly stair-stepping). Low beta is appropriate for mixed regime. No insider activity. Bear case: CRE weakness would pressure facility services demand. Conviction: Medium.



CVLT

Commvault Systems, Inc.

$168.30

Pivot $174.25 | 3.5% away

RS vs SPY: +14.7%

B BUILDING

$6.89B Cap | 40M Float

Data Protection & Backup Software | Theme: Cyber Resilience & Data Recovery | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 2.81

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$174.25**
% to Pivot	**3.5%**
Days in Base	**17**
Tightness	**2.81 Fair**
52W Hi Prox	**96.6%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**694k <**
Wk2	**680k <**
Wk3 (oldest)	**832k**
Coil Strength	**16.6% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+14.7%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$6.89B**
Float	**40M sh**
P/E (TTM)	**87.2**
Fwd P/E	**26.7**
Rev Growth	**13.1%**
Short %	**10.6%**
Inst. Own	**-**
Target Pr.	**$189.38**

ENTRY TRIGGER

Close above $174.25 on volume >50% of 20-day avg (~305K shares)

Target: $189.00 (analyst consensus target)

Stop: $163.00 (mid-base support, ~6% risk from pivot)

CATALYST INTELLIGENCE

EARNINGS

January 26 - Forward EPS of $6.29 vs TTM $1.93 implies significant margin expansion as SaaS transition matures. 109% earnings growth reflects the inflection. No imminent catalyst (77 days), but Street is likely undermodeling the operating leverage.

BUSINESS & POSITION

Commvault provides enterprise data protection software enabling backup, recovery, and cyber resilience across hybrid cloud environments. The company has successfully transitioned to SaaS and benefits from increasing regulatory requirements around data retention and ransomware recovery.

FACTOR & THEME

Cyber resilience theme has durable tailwinds as ransomware threats escalate - CFOs now view backup/recovery as critical infrastructure rather than cost center. Technology sector lagging (-11.3%) is a headwind but data protection is defensive within tech.

NEWS FLOW

No major news in last 60 days. The setup is technical, driven by fundamental improvement rather than discrete event. Analyst target of $189 (12% upside) validates the breakout thesis (Catalyst Type: Fundamental/Low).

INSTITUTIONAL

Vol dry-up of 16.6% (soft - not strict stair-step) with tight 2.8% base. RS line at new highs despite tech sector weakness signals relative strength. No insider activity in last 60 days. Elevated short interest (10.6%, 6.1 days) could fuel squeeze on breakout.

KEY RISK

Thesis invalid on a close below $163.00 (mid-base). Extreme balance sheet leverage (debt/equity 7,350%) is a structural concern - any credit tightening would pressure the equity. Valuation at 26.7x forward is rich for a data protection name.

Tight 2.8% base with RS line at 52W high despite tech sector underperformance is notable relative strength. Vol dry-up is soft but base quality is strong. However, no catalyst for 77 days and technology sector headwind limit near-term probability. Balance sheet leverage is extreme. Bear case: credit stress or growth deceleration would reprice aggressively. Conviction: Medium.



TXNM

TXNM Energy, Inc.

$58.10

Pivot $59.01 | 1.6% away

RS vs SPY: +5.3%

C EARLY STAGE

$6.40B Cap | 88M Float

Regulated Electric Utility - Southwest US | Theme: Defensive Yield & Grid Modernization | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.0

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$59.01**
% to Pivot	**1.6%**
Days in Base	**20**
Tightness	**2.00 Fair**
52W Hi Prox	**97.6%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**1007k <**
Wk2	**1065k <**
Wk3 (oldest)	**1093k**
Coil Strength	**7.9% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+5.3%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$6.40B**
Float	**88M sh**
P/E (TTM)	**29.1**
Fwd P/E	**17.9**
Rev Growth	**13.3%**
Short %	**6.1%**
Inst. Own	**-**
Target Pr.	**$60.70**

ENTRY TRIGGER

Close above $59.01 on volume >30% of 20-day avg (~390K shares)

Target: $62.00 (measured move based on shallow base)

Stop: $57.00 (base low, ~3% risk)

CATALYST INTELLIGENCE

EARNINGS

REPORTED

Extremely tight 2% base with vol dry-up confirmed, but RS line NOT at new high disqualifies from higher grade. Utilities sector is mid-pack, no catalyst in sight (just reported). Defensive name for monitoring only. Conviction: Low.



CUBI

Customers Bancorp, Inc

$85.27

Pivot $89.60 | 5.1% away

RS vs SPY: +5.6%

C EARLY STAGE

$2.84B Cap | 32M Float

Commercial Banking - Digital-First Model | Theme: Fintech-Adjacent Banking | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 5.58

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$89.60**
% to Pivot	**5.1%**
Days in Base	**13**
Tightness	**5.58 Fair**
52W Hi Prox	**95.2%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**236k <**
Wk2	**342k <**
Wk3 (oldest)	**360k**
Coil Strength	**34.3% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+5.6%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$2.84B**
Float	**32M sh**
P/E (TTM)	**10.3**
Fwd P/E	**8.6**
Rev Growth	**4.1%**
Short %	**12.0%**
Inst. Own	**-**
Target Pr.	**$98.20**

ENTRY TRIGGER

Close above $89.60 on volume >40% of 20-day avg (~115K shares)

Target: $98.00 (analyst target)

Stop: $80.00 (base low, ~11% risk)

CATALYST INTELLIGENCE

EARNINGS

January 21

Vol dry-up confirmed and RS at 52W high, but pivot 5.1% away and no catalyst for 72 days. Elevated short interest (12%, 8.8 days) could fuel squeeze but needs trigger. Early stage - monitor for tightening. Conviction: Low.



BOX

Box, Inc.

$42.55

Pivot $44.88 | 5.5% away

RS vs SPY: +29.8%

C EARLY STAGE

$5.84B Cap | 132M Float

Enterprise Cloud Content Management | Theme: Hybrid Work Collaboration Infrastructure | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 5.01

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$44.88**
% to Pivot	**5.5%**
Days in Base	**17**
Tightness	**5.01 Fair**
52W Hi Prox	**94.8%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**2568k <**
Wk2	**2638k <**
Wk3 (oldest)	**3295k**
Coil Strength	**22.1% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+29.8%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.84B**
Float	**132M sh**
P/E (TTM)	**61.7**
Fwd P/E	**24.5**
Rev Growth	**9.2%**
Short %	**15.8%**
Inst. Own	**-**
Target Pr.	**$41.14**

ENTRY TRIGGER

Close above $44.88 on volume >40% of 20-day avg (~1.1M shares)

Target: $49.00 (measured move ~10%)

Stop: $40.00 (base low, ~11% risk)

CATALYST INTELLIGENCE

EARNINGS

December 01

Strong RS (+29.8%) but RS line NOT at new high and pivot 5.5% away. Technology sector lagging (-11.3%) is headwind. High short interest (15.8%) provides squeeze potential but needs catalyst confirmation. Earnings in 21 days could be trigger - monitor. Conviction: Low.



HWKN

Hawkins, Inc.

$153.00

Pivot $158.40 | 3.5% away

RS vs SPY: +23.0%

C EARLY STAGE

$3.18B Cap | 20M Float

Water Treatment & Specialty Chemicals Distribution | Theme: Water Infrastructure & Industrial Chemicals | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight:

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$158.40**
% to Pivot	**3.5%**
Days in Base	**11**
Tightness	**6.23 Fair**
52W Hi Prox	**87.9%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**105k <**
Wk2	**145k <**
Wk3 (oldest)	**162k**
Coil Strength	**34.8% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+23.0%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$3.18B**
Float	**20M sh**
P/E (TTM)	**37.1**
Fwd P/E	**32.4**
Rev Growth	**11.9%**
Short %	**7.9%**
Inst. Own	**-**
Target Pr.	**$176.75**

ENTRY TRIGGER

Close above $158.40 on volume >40% of 20-day avg (~65K shares)

Target: $175.00 (near analyst target $176.75)

Stop: $145.00 (base low, ~8% risk)

CATALYST INTELLIGENCE

EARNINGS

January 27

Vol dry-up confirmed (34.8%) but RS line NOT at new high and prox_52w at 87.9% indicates prior highs not yet challenged. Base is loose (6.2%). No catalyst for 78 days. Basic Materials sector is mid-pack. Early stage - needs to tighten and RS to improve. Conviction: Low.

